DECISION BRIEF

Churn comes from new month-to-month customers, and a 90-day test can show whether we can stop it

In this 15-customer sample, 7 customers left. Every one was on a month-to-month contract, and none of the 8 customers on a one-year or two-year contract left.

We ask for approval to run a 90-day pilot: offer new customers a one-year plan, and have the account team call when a customer raises a third support ticket.

DECISION REQUESTED

Approve a 90-day retention pilot

Planning range if it works: 109.98 to 219.96 of monthly revenue kept for every 10 new month-to-month sign-ups. The save rate behind that range is an assumption.

SITUATION

Nearly half the sample has left, and they took a third of monthly revenue

CHURN RATE

46.7%

7 of 15 customers

RETENTION RATE

53.3%

8 of 15 customers

MONTHLY REVENUE LOST

409.93

32.3% of 1,269.85 total, 4,919.16 a year

AVERAGE TENURE

7.0 months

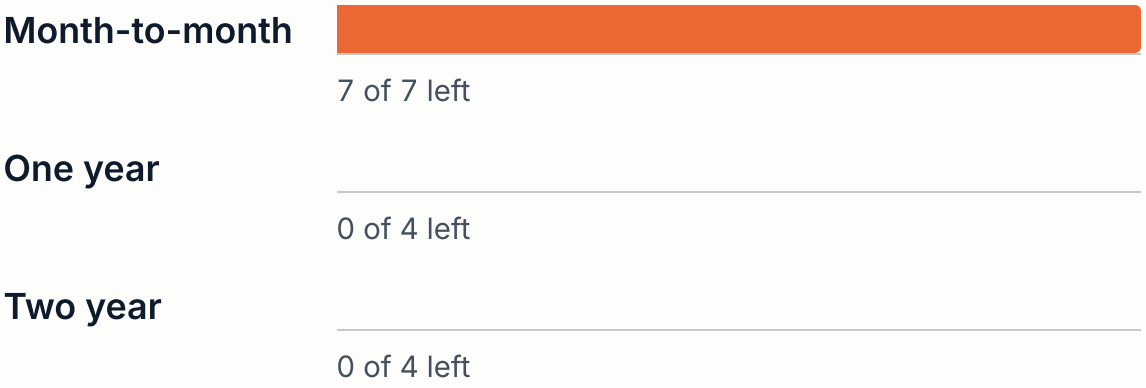
for customers who left, against 29.1 for those who stayed

Revenue is monthly recurring revenue (MRR): the sum of each customer's monthly charge. The source file gives no currency. The live KPI dashboard shows these figures with filters for contract, tenure and payment method.

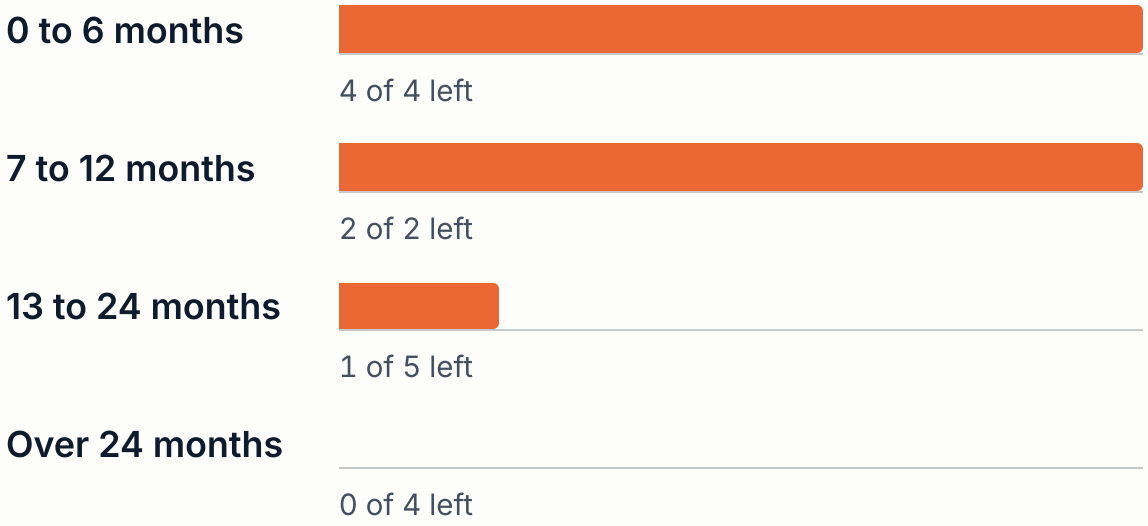
INSIGHTS 1 AND 2

All churn is on month-to-month contracts, and it happens in the first year

Churn by contract



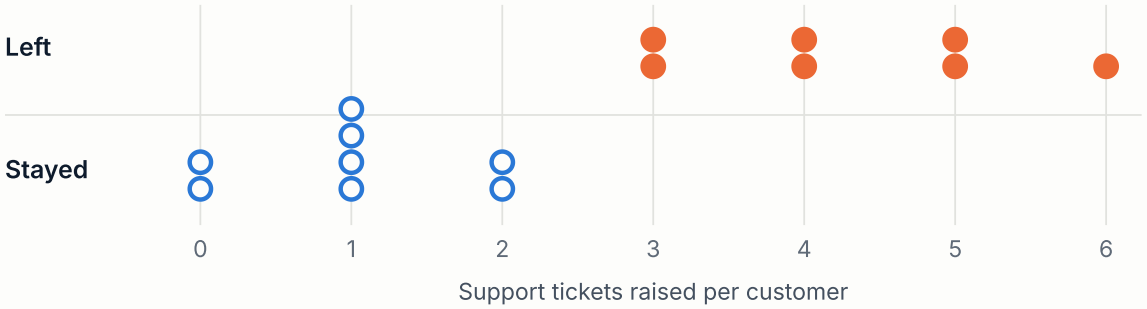
Churn by tenure



So what: Contract type is the clearest dividing line in the data. All 6 customers on month-to-month plans for 12 months or less left, 4 of them by month 6.

INSIGHT 3

Customers who raised three or more support tickets left; no one who stayed raised more than two



AVERAGE TICKETS

4.3 vs 1.0

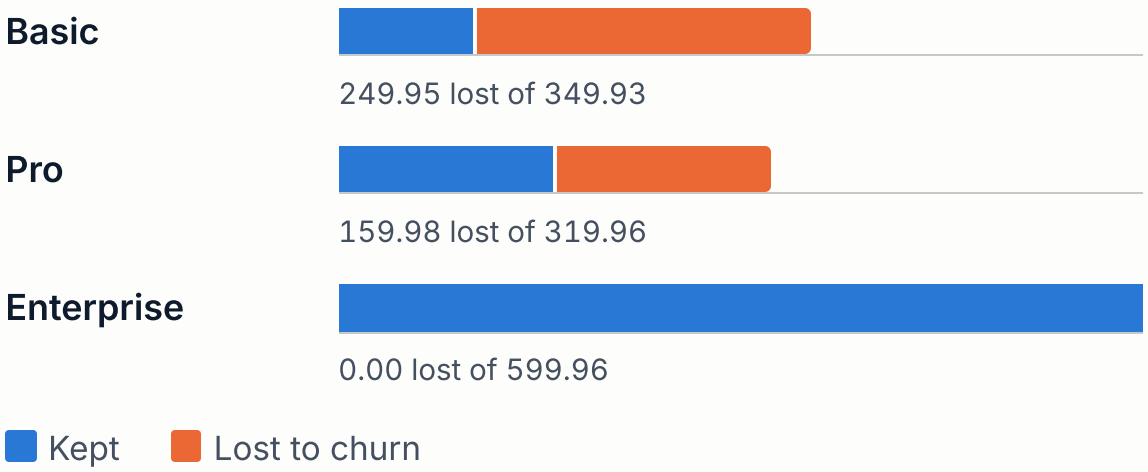
customers who left, against customers who stayed

So what: The third ticket is a usable trigger for a call from the account team. Tickets may be a symptom of a problem the customer already had, so a call may not change the outcome. The pilot tests that.

INSIGHT 4

47.2% of monthly revenue sits with Enterprise customers, and none of them left

Monthly revenue by plan: kept and lost

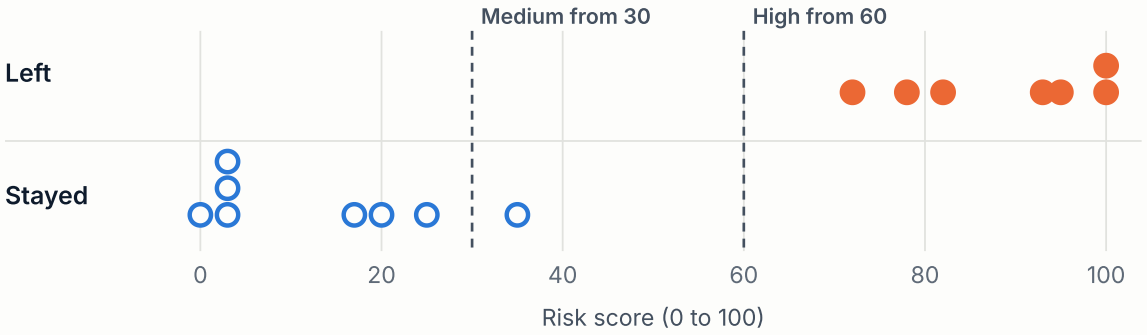


So what: The revenue that left came from Basic (249.95) and Pro (159.98) plans. Retention effort aimed at new Basic and Pro sign-ups protects the revenue most at risk, and the largest accounts need no extra spend.

Enterprise is also all on two-year contracts, so plan and contract effects overlap and cannot be separated in this data.

INSIGHT 5

A simple points score ranks every customer who left above every customer who stayed



So what: The score adds points for contract, tenure, tickets, payment method and plan. Scores for customers who left run from 72 to 100. Scores for customers who stayed run from 0 to 35. One active customer is above the Low tier: CUST-1006, score 35, Medium.

Not yet proven. I chose the point values after looking at these same 15 customers, so a clean ranking is expected. It needs a test on new customers before anyone relies on it.

EXPECTED IMPACT

If a pilot keeps 20% to 40% of new month-to-month customers, that is 1,319.76 to 2,639.52 a year per 10 sign-ups

ASSUMED SHARE KEPT	REVENUE KEPT PER MONTH	REVENUE KEPT PER YEAR
20%	109.98	1,319.76
30%	164.97	1,979.64
40%	219.96	2,639.52

Basis: 10 new month-to-month sign-ups at the sample's average early-customer charge of 54.99 puts 549.90 of monthly revenue at risk.

Assumptions.

- The 20% to 40% share kept is a planning range. It does not come from this data.
- All 6 early month-to-month customers here left. If real early churn is lower, these amounts shrink in proportion.
- The range ignores the cost of the offer and of the calls, which is unknown.

LIMITATIONS

What this analysis cannot tell us

- **Sample size.** 15 customers is too few to estimate rates. One customer moves the overall churn rate by 7 points and a four-customer group by 25.
- **Overlap.** Every month-to-month customer has 14 months of tenure or less, and every other customer has 15 or more. The data cannot say whether contract or tenure matters more.
- **Score.** The point values were set on this data and have not been tested on new customers.
- **Cause.** Support tickets and payment method show a pattern, not a cause. Payment method rests on 2 to 6 customers per method.
- **Missing data.** There are no dates, offer costs, discounts or contact history, so the page cannot show trends over time or the cost of acting.
- **Left out on purpose.** Age and gender are not used to score customers.

RECOMMENDATION

Run a 90-day pilot, measure it against a control group, then re-score on real outcomes

1. **Offer a one-year plan to new sign-ups.** Randomly give half of new month-to-month customers the offer. The other half is the comparison group.
2. **Call at the third support ticket.** Apply the same split so the effect of the call can be measured.
3. **Check in with CUST-1006 before its contract renews.** It is the only active customer above the Low tier.
4. **Re-score with real outcomes.** Once a few hundred customers have known results, retest the score and reset its point values.

How we will know. Compare 90-day churn between the offer group and the comparison group. Scale the offer if the offer group's churn is clearly lower, and weigh the gain against the cost of the offer.

Owner and timing. To be set by the sponsor. The pilot needs a start date and a named owner in Customer Success.